EasyJet Plc Performance and Financial Position Report

12.12.2023

Nehru Hari
NT INVESTMENTS
Student ID: 2383228
University of Bristol

Executive Summary

Company Information:

EasyJet is a budget point-to-point airline operating throughout Europe. They provide affordable tickets, smoothly linking Europe with the UK and many other destinations, by implementing cost advantages, operational efficiency, and leading positions in primary airports.

Key Findings:

1. An airline operator makes continuous efforts to understand the number of customers and thus provide appropriate prices to improve load factors, thus maximising their efficiency for higher revenues.
2. Jet fuel prices fluctuate year on year, and to avoid the losses incurred in paying for these expenses, it requires additional measures like fuel hedging.
3. Low-cost airlines make calculations to understand the revenue received per available seat mile for profitability and, on the other hand, should have an evaluation of the costs associated with sales per available seat mile.
4. The low-cost airline must ensure that at all times it has a healthy financial statements, which makes it prepared to service its short-term debt obligations.

Company goals:

EasyJet prioritises the group as a whole and hopes to generate revenue from a variety of sources that will enable it to be profitable. These methods include developing plans to boost airline ancillary income, improving EasyJet holidays to new heights, and ultimately boosting passenger revenue through the application of efficient cost and operational techniques.

EasyJet is interested in improving its current network of destinations and would like to increase it in the near future.

Financial Ratio Analysis

Margin Ratios:

An essential metric for understanding an organization's financial health is its margin ratios. A bar graph showing Easy Jet Plc's gross profit margin, operating profit margin, and net profit margin is shown in Figure (1) below.

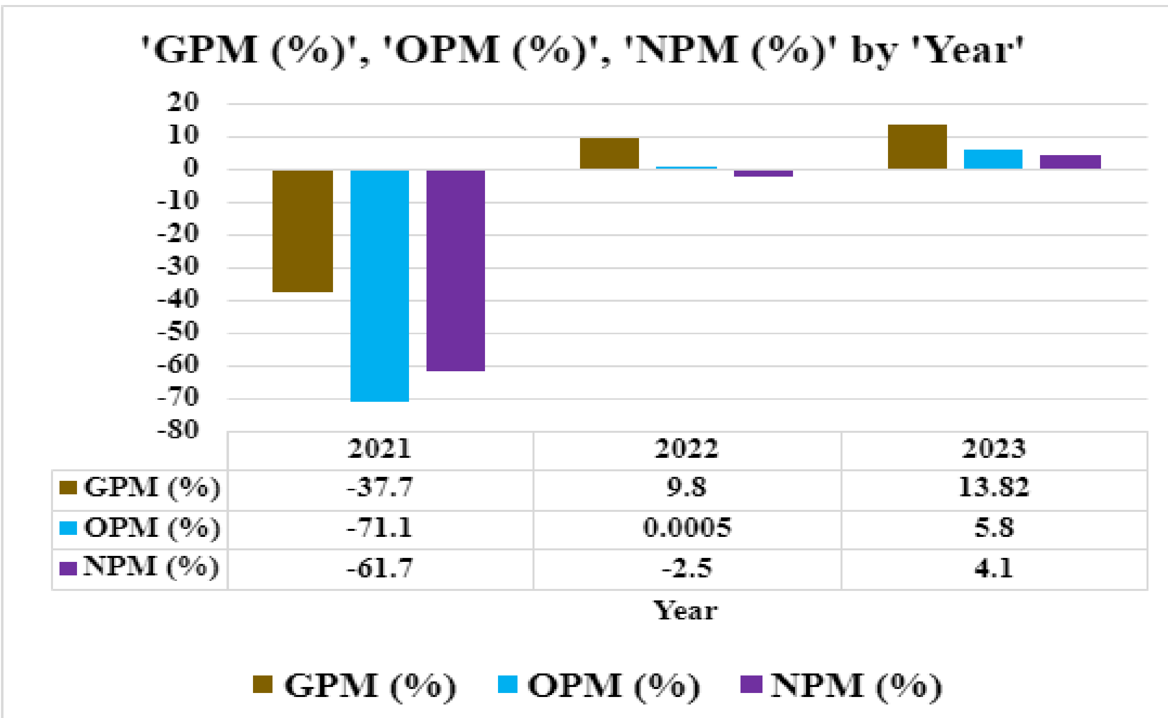


Figure (1)

In 2021, the GPM dropped dramatically to -37.7%. The main reasons for this collapse were a 50% drop in overall sales from 3 billion GBP to 1.5 billion GBP the previous year, and a twofold increase in EBITDAR (earnings before interest, taxes, depreciation, amortisation, and rent) losses.

Going forward for the next year, EasyJet had brought in changes in pricing for baggage and seats; thus, this was able to drive ancillaries to higher gains and brought in almost 2 billion pounds to ancillary revenue, which drove it to almost 5.7 billion pounds in total revenue to contribute to a 9% spike in GPM. The year after that saw higher gains in total revenue added with EasyJet holiday packages as restrictions eased worldwide, resulting in better percentages.

Liquidity Ratios:

The quick ratio, gives an insight into how capable EasyJet is to pay off its short-term debt obligations. Figure (2) displays this ratio for the past 5 years. The reason for the falling quick ratio for past few years is due to higher lease liabilities on aircraft and equipment, along with provisions for liabilities and charges arising due to the repayment of tickets for delayed or cancelled flights, along with other liabilities involved in legal proceedings. In 2021, EasyJet had the least lease leverage and the fewest liabilities for provision and charges, as there were fewer customers flying during that year, thus the higher value of 1.3 for quick ratio.

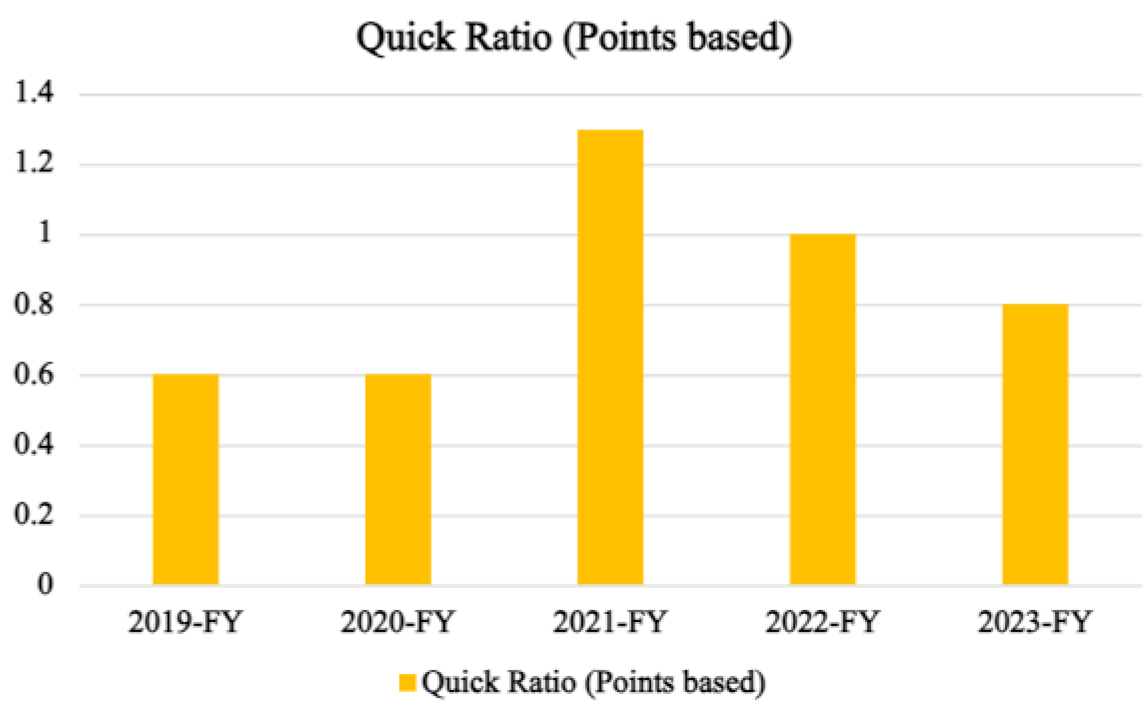
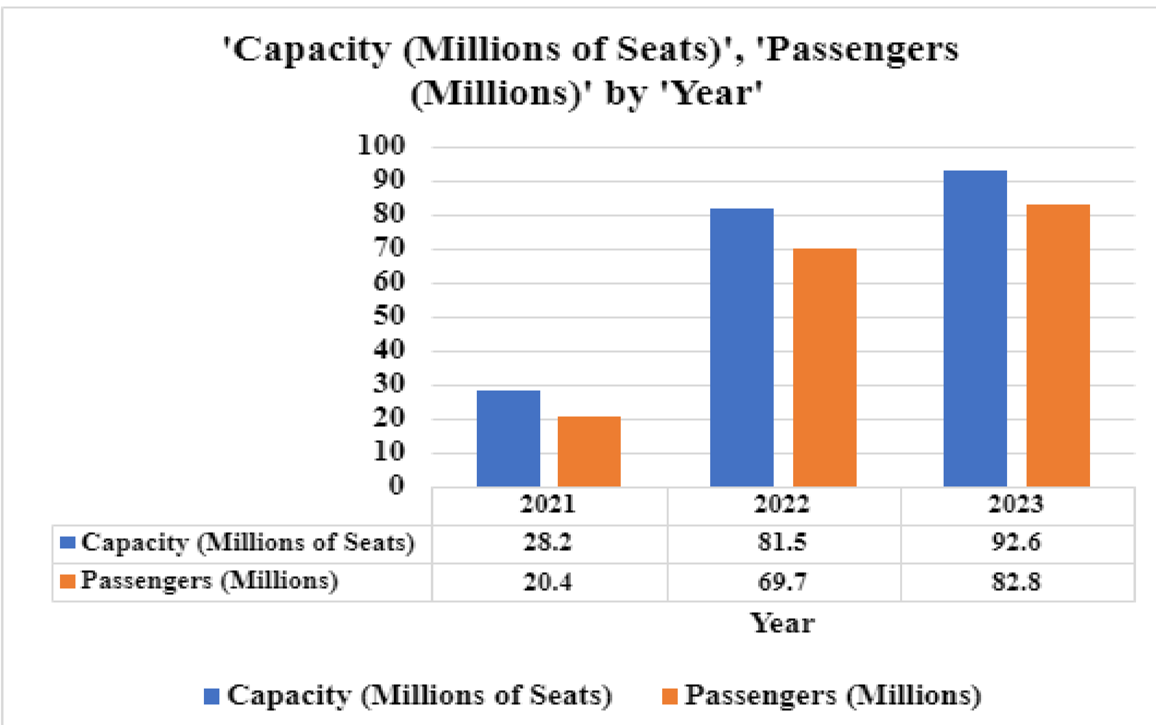


Figure (2)

Technical Ratio Analysis

Capacity, Passengers, and Load Factors:

By assigning the appropriate ticket pricing, airlines may utilise strategic optimisations to increase load factors. Although capacity is the total number of seats that an airline operator has, the carrier's fleet of aircraft affects this capacity. Furthermore, load factor Figure (4) shows how efficient the operator is. Easyjet increased revenue by 296% by optimising flights with a load factor of 86% in 2022, thanks to a capacity [Figure (3)] expansion of 81.5 million seats.



	2021	2022	2023
Capacity (Millions of Seats)	28.2	81.5	92.6
Passengers (Millions)	20.4	69.7	82.8

Figure (3)

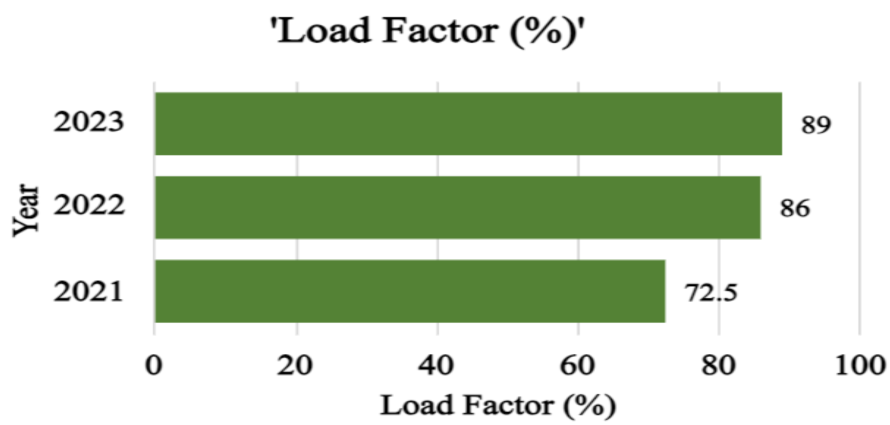


Figure (4)

A 19% increase in passengers in 2023 resulted in a 92.6 million seat capacity utilisation, which translated into a 42% increase in total revenue to 8 billion GBP. Easyjet's growth in passenger volume also compensated for strong earnings in its easyjet holidays division and growth in ancillaries.

Analysis of Jet Fuel Prices:

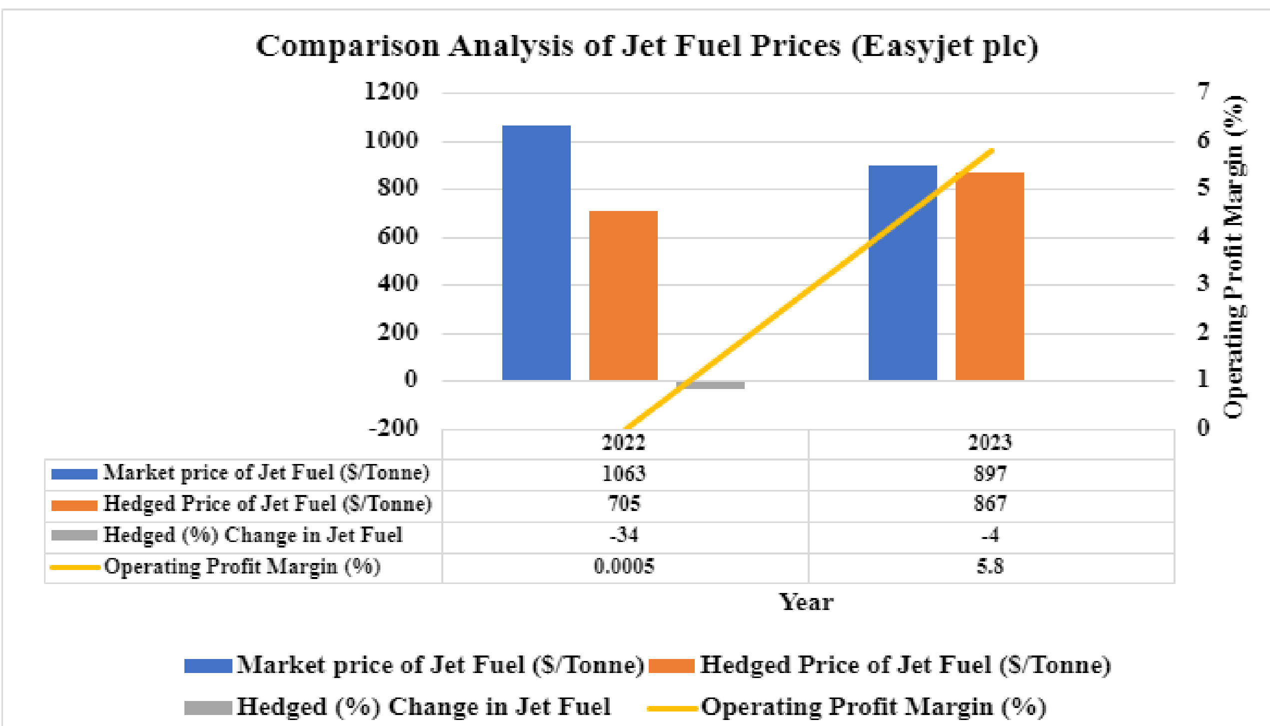
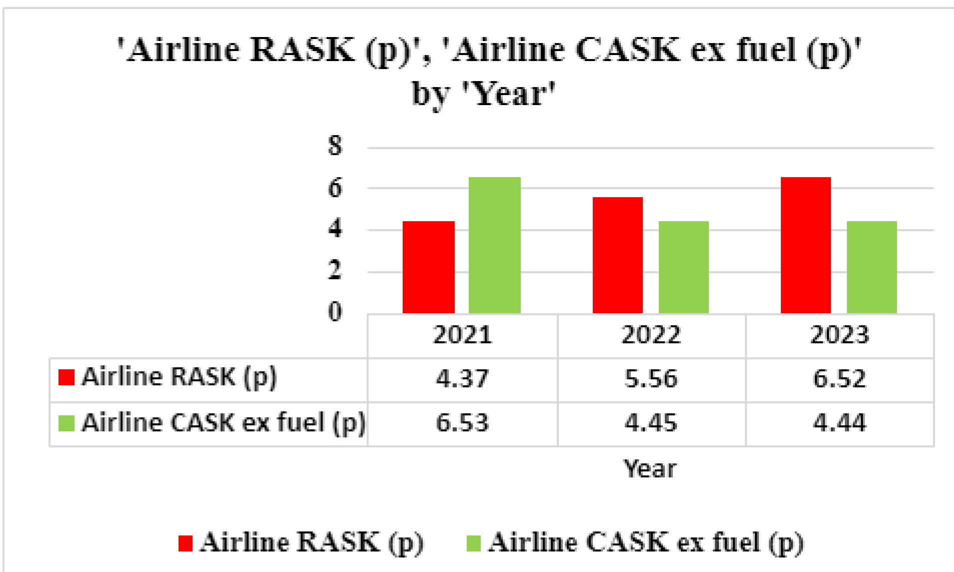


Figure (5)

Low-cost carriers like EasyJet are heavily dependent on the oil industry; additionally, whenever EasyJet hedges jet fuel for the following fiscal year in order to restrict and avoid the agony of paying exorbitant jet fuel prices per tonne,. In Figure (5), the market price of jet fuel per tonne in 2022 was $1063, which they protected by hedging at a 34% discount and were able to retain a minimal positive OPM. The next year they were able to acquire an even greater OPM, which increased by 5%.

Hedging jet fuel can also be done in advance by making use of the cash in reserve. Easyjet has also hedged about 76% of the fuel for the first half of 2024 for $867, while 51% of the second half is hedged for $823.

RASK and CASK:

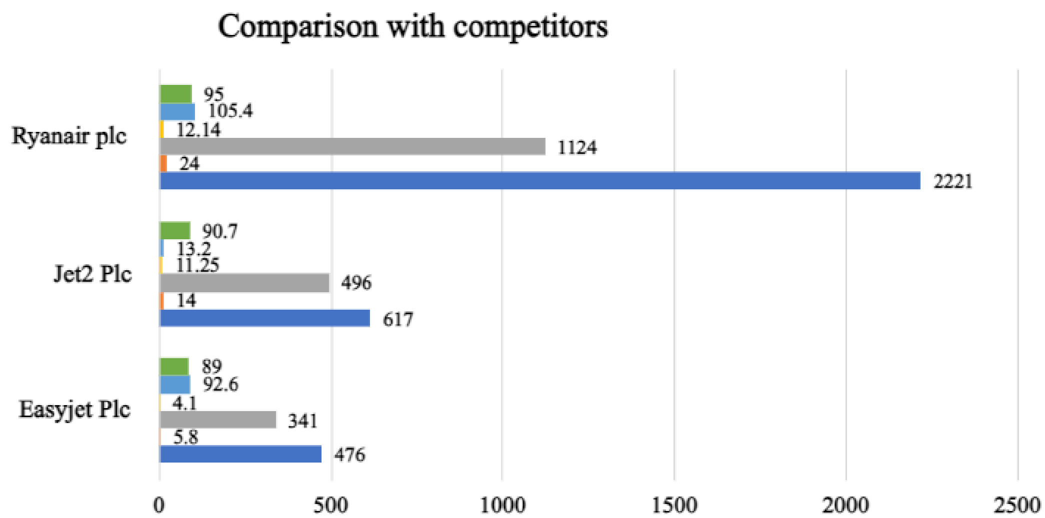


	2021	2022	2023
Airline RASK (p)	4.37	5.56	6.52
Airline CASK ex fuel (p)	6.53	4.45	4.44

Figure (6)

The RASK (Revenue per Available Seat Kilometre) represents how effectively the airline manages revenue for each seat kilometre sold; the greater the RASK, the more income the airline generates per unit of seat capacity. The CASK represents the cost incurred for each seat kilometre sold; the lower the CASK, the better the airline performs in managing its expenses; alternatively, the farther the airline flies, the more costs it can save, provided the other values remain constant. In the above Figure (6), easyjet has been able to significantly increase its RASK value while decreasing its CASK, which is a very good trait.

Comparison with Competitors



	Easyjet Plc	Jet2 Plc	Ryanair plc
Load Factor (%)	89	90.7	95
Capacity (Millions of seats)	92.6	13.2	105.4
Net Margin (%)	4.1	11.25	12.14
Net Profit (Million GBP)	341	496	1124
Operating Margin (%)	5.8	14	24
Operating Profit (Million GBP)	476	617	2221

Load Factor (%) Capacity (Millions of seats) Net Margin (%)
Net Profit (Million GBP) Operating Margin (%) Operating Profit (Million GBP)

Figure (7)

The above Figure (7) shows comparison statistics for the margin ratios for the year 2023. As this table only focuses on margins, it only gives a snapshot of the profitability and performance of each carrier. It is observable that Ryanair is able to dominate the other carriers in terms of allocating the maximum capacity and is able to drive in a significantly higher load factor; thus, in terms of efficiency, Ryanair performs to its fullest potential. Jet2 plc has better OPM and NPM than its UK counterpart EasyJet, but it misses out on having more passengers.

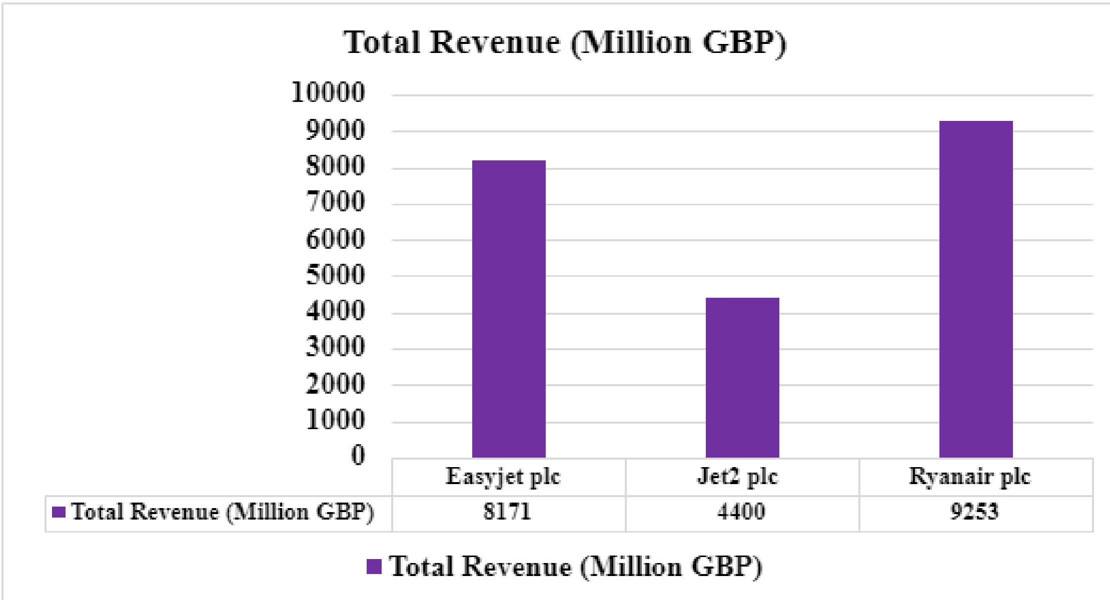


Figure (8)

Looking at Figure (8) we get a glimpse of the true performance of revenue for 2023. Although Ryanair is very powerful, EasyJet can still reach revenue figures like Ryanair, whereas Jet2 plc would have to make huge strategic changes to achieve such massive potential.

Trend Analysis of EasyJet Plc

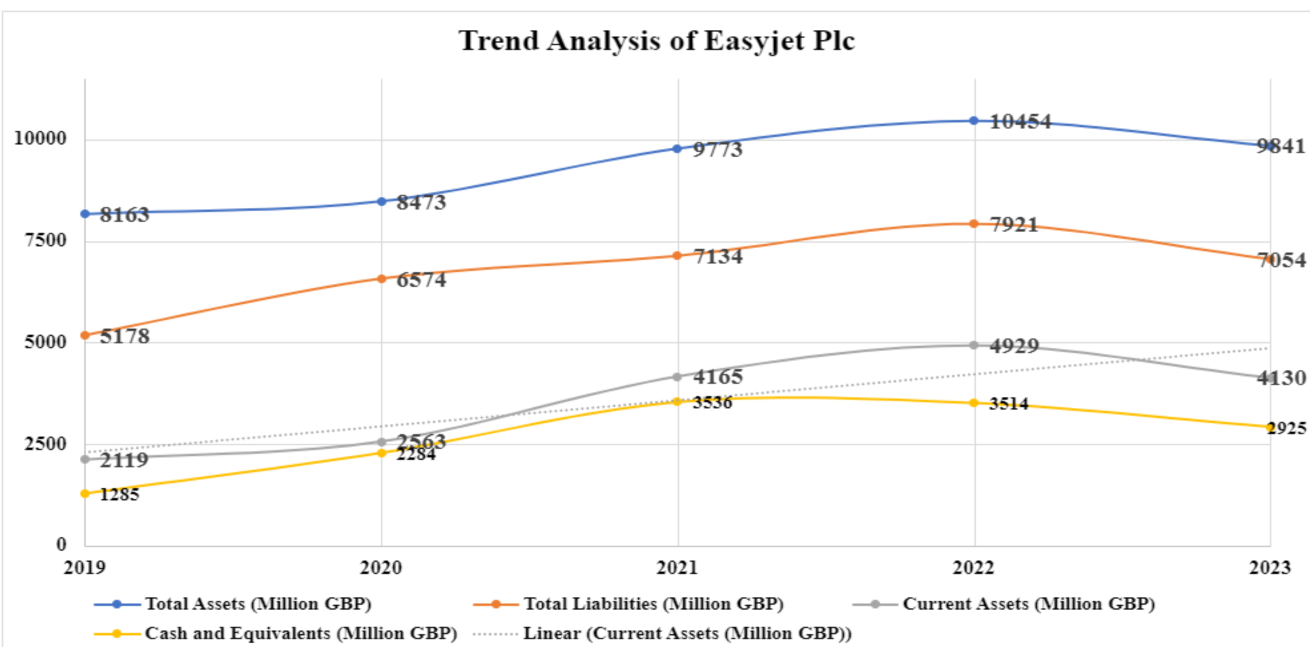


Figure (9)

The Figure (9) above shows the curve of certain financial components. Easyjet's Total Assets have substantially dropped. This is due to Easyjet's 2029-2034 fleet modernization plan. The current 2023 fleet consists of 336 aircraft, of which 183 (or 54%) are owned by Easyjet and 153 (or 46%) are leased. Four years prior, 30% of the aircraft were leased, and 70% were owned. Easyjet has been cutting back on the number of owned aircraft since its fleet average age has been consistently around ten years. Older aeroplanes need more maintenance even though they can usually be operated at maximum capacity for 20 years. Easyjet has a great strategy to buy 158 more Airbus aircraft in only six years because of this. By then, most of the older aircraft would have been sold off, giving the business exclusive ownership of the newest models, most suitable for accomplishing the company's several goals, including sustainability.

While the cash and equivalents were maintaining an average of 2.6 billion gbp, this could be used for any immediate servicing, fuel, and forex hedging as and when required.

Current assets have a whole host of intangible assets, trade, and other receivables; however, these would always be changing due to market fluctuations. EasyJet has also maintained them consistently for the past 3 years, for an average of 4 billion GBp.

Share Price Movement

Figure (10)

Easyjet's stock price movement can be divided into three phases Figure (10).

The first phase saw a 36.7% increase in stock price to 450 gbp from the beginning of the year when the company announced its first quarter earnings in the last week of January. This resulted in a 47% increase in passengers, which led to a strong 87% load factor. This phase saw a rise in share prices due to higher winter bookings over the season, which also increased group revenue by 83% to 1.5 billion GBP, which includes passenger revenue, EasyJet holidays, and ancillaries. The share prices of other airlines, such as Ryanair and Jet2, also increased due to higher winter bookings too [Figure (11)].

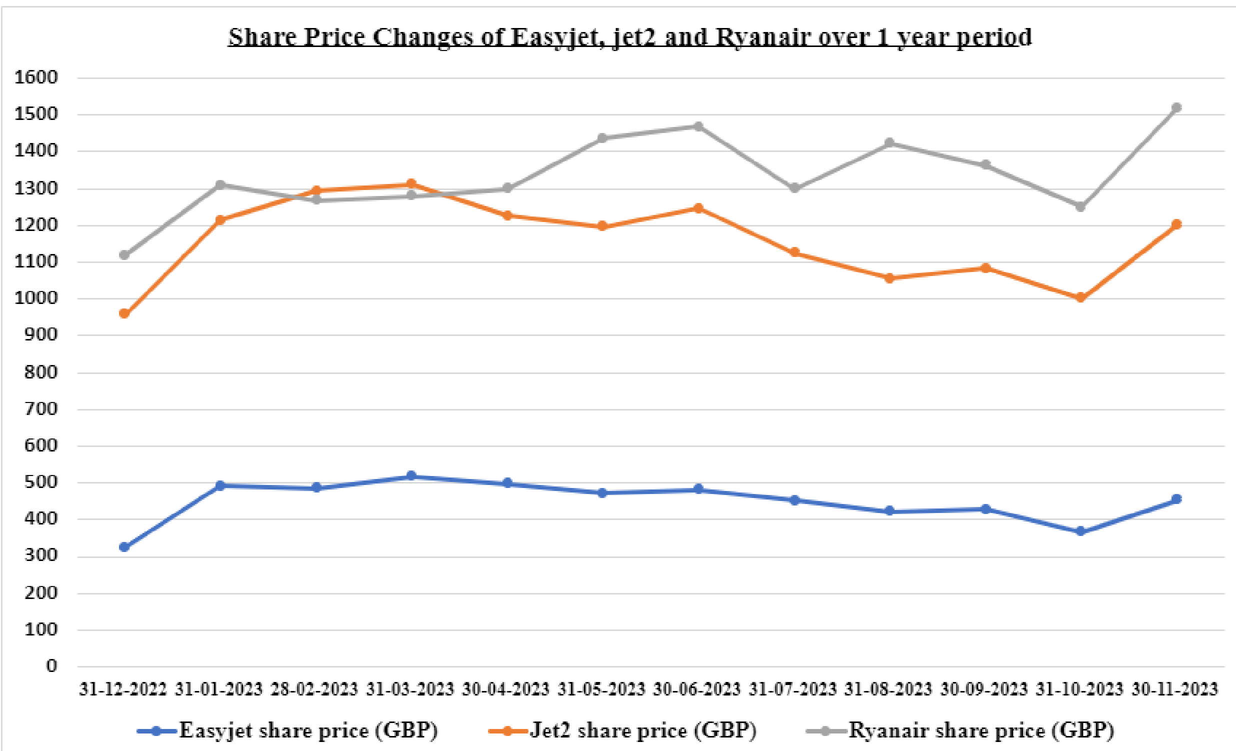


Figure (11)

The company's operational development in Birmingham and the sale of summer vacation tickets to Switzerland, which opened up 1.1 million new clients, contributed to the second and third quarters' considerably more steady share price.

There was a market correction in August and September, and there was anticipation of an increase in oil prices owing to the Israel-Hamas war in October which is why there was drop in share price. Later on the presentation of annual results on November-28-2023 depicted solid statistics of 476 million gbp in operating profit and 8.1 billion gbp in total sales, which then made the share price rise to 421 gbp per share which was 4% higher than the previous day, from there onwards the share prices started soaring higher due to the positive news.

References:

1. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2023/q4/FY23-RNS-FINAL.pdf
2. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2022/q4/2022-fy-results-release.pdf
3. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2021/q4/2021-full-year-results-release.pdf
4. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2020/q4/fy2020-release.pdf
5. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2019/q4/fy19-release.pdf
6. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2023/q1/fy23-q1-trading-update-final-1.pdf
7. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2023/q2/HY-RNS-Final.pdf
8. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://corporate.easyjet.com/files/doc_financials/2023/q3/Q323-Trading-Update-vFinal-v2.pdf
9. https://www.cmcmarkets.com/en-gb/news-and-analysis/easyjet-shares-take-off
10. https://uk.sports.yahoo.com/news/why-easyjet-share-price-plunged-062500518.html